Paulie's Cider Australia: Proposed Structure

For Josh, with Dom and Shanu · Draft for discussion · October 2026

Josh, this is where I landed after our call with Dom and some homework on my end. It's a starting point for next week's partner meeting. We'll confirm the tax and legal pieces with the cross-border accountant before anything is final.

1. STRUCTURE

- **Paulie's Cider Australia Pty Ltd**, owned by Paulie's Cider LLC (US)
- **Registered office:** Ventura, Murwillumbah NSW
- **Director:** Dom as sole director (a resident is required)
- **Owner approval** on big decisions: borrowing, large spends, related-party deals, issuing shares, selling the business
- **Ventura (Dom + Shanu):** management and production under a management agreement
- **Paradiso:** sales under a distribution agreement with clear targets
- **Distributors (Modus etc.):** pay Paulie's AU directly

Paulie's Cider LLC (US) → owns the brand + Paulie's AU, funds it via loan
↓
Paulie's Cider Australia Pty Ltd → holds licences, contracts, bank account
↓ pays
Ventura (management + production) · **Paradiso** (sales)

2. DEC 1 LAUNCH

- Paulie's AU won't have its own NSW liquor licence by Dec 1
- **Bridge:** Ventura brews and sells the first 100 kegs under its existing licence, with a short bridge agreement
- Paulie's AU takes over from the can launch in Feb/March

3. BRAND

- File the AU trademark in **Paulie's Cider LLC's** name, then license it to Paulie's AU
- Keeps the brand consistent across both markets and keeps any future sale clean
- Dom, can you file it that way?

4. MONEY

- **In:** I fund Paulie's AU mainly as a documented loan, so it can be repaid tax-free
- **Out:** loan repayments first, then a brand royalty (about 3–5% of sales), then dividends only if there's extra
- **Goal:** self-sufficient within year 1, then CBA trade finance once we have trading history
- **Reality check:** cash will be tight on my end while the US ramps, so I want to keep upfront cash costs as low as we can

5. HOW SHOULD WE COMPENSATE VENTURA?

This is the big open question. Dom and Shanu would be running the business day to day, and I want that to be worth it for them. Given cash flow, I'd like to know if equity in Paulie's AU appeals to them more than a straight cash fee.

Option	How it works	Trade-off
A. Cash fee	Fixed monthly management fee	Simple. Heaviest on cash early, and no upside for Ventura if it takes off.
B. Equity	Ventura (or Dom + Shanu) earns a share of Paulie's AU over time	Saves cash and gives them real upside, including in a sale. Shares ownership and needs a shareholders agreement.
C. Hybrid	Small cash fee to cover real costs + smaller equity stake	Balances both. My lean.
D. Profit share	% of Paulie's AU profit, no ownership	No equity given up, but nothing paid until it's profitable.

If we go with equity, I'd suggest:

- Equity in **Paulie's AU only** (not the US business or the brand)
- **Earned over time** (e.g., over 3 years), tied to their role and milestones
- **Shareholders agreement** covering what happens if someone steps away, and how a sale works so everyone sells together
- Production itself (Shanu's brewing, cans, kegs) still paid in cash at cost, since that's real money out the door

Questions for you, Josh

1. Would Dom and Shanu take equity instead of some or all of the cash fee?
2. What split feels fair to them, and what's the minimum cash they'd need to cover real costs?
3. Should equity sit with Ventura the company, or with Dom and Shanu personally?
4. What's Paradiso's fee structure, and do we want that on paper alongside Ventura's?

6. NEXT STEPS

Who	Action
Cooper	US CPA sign-off on the tax setup
Dom	Book the cross-border accountant; confirm Ventura's licence covers the 100 kegs; register Paulie's AU; apply for its NSW producer/wholesaler licence; file the trademark
Josh / Dom	Keg production with Shanu; tap decals
Josh	Sound out Dom and Shanu on compensation (section 5)
Group	Ventura and Paradiso agreements; AU can labels; deposit scheme registration (NSW + QLD) before cans launch

7. QUESTIONS FOR THE ACCOUNTANT

1. Is our cider taxed under WET or excise?
2. What royalty rate can we defend?
3. How are big upfront placement deals with banner groups taxed?
4. Best way to give Ventura equity in Paulie's AU (tax for them and for us)?

Let's lock this in at next week's partner meeting.

Draft for discussion only. Not legal or tax advice; to be confirmed with the cross-border accountant and US CPA.